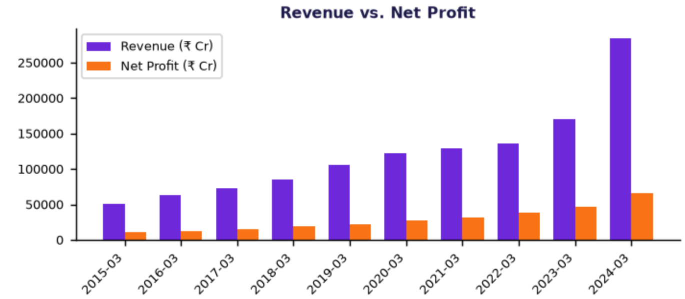
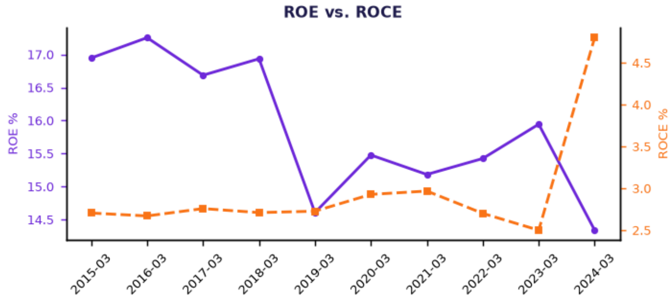
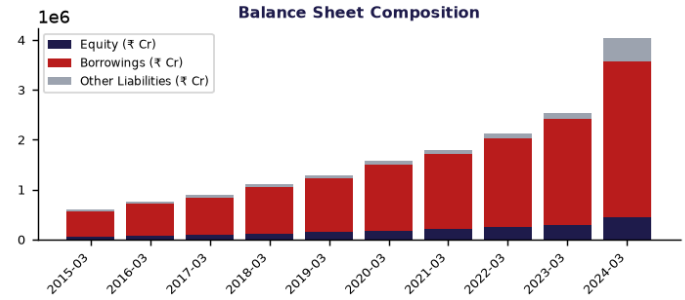
HDFC Bank Ltd

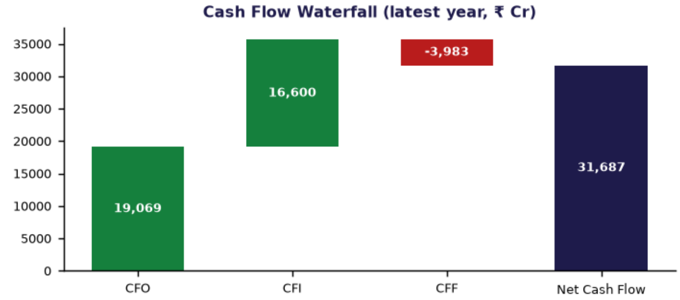
HDFCBANK · Financials / Private Banks

ROE **14.34%**	ROCE **4.80%**	Net Profit Margin **23.07%**
D/E **6.81**	Revenue CAGR 5yr **21.95%**	FCF (Rs. Cr) **35,669**









Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
✓ Consistent dividend yield above 2% backed by positive free cash flow (91% confidence)
✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (78% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (68% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (68% confidence)

Cons

✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (86% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (72% confidence)
✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (63% confidence)

Capital Allocation Pattern: **Liquidating Assets**